Absorbing Transition DID Results: AKM Failure Bad — Upgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		0.089***		0.079***		0.029
		(0.029)		(0.025)		(0.025)
× Voluntary Rotation		0.100***		0.058***		0.062***
		(0.009)		(0.006)		(0.007)
Pooled	0.098***		0.052***		0.064***	
	(0.007)		(0.005)		(0.006)	
Mandatory − Voluntary		-0.011		0.021		-0.034
Difference p-value		0.718		0.417		0.190
Observations	43,919	38,017	43,919	38,017	43,919	38,017
Firms	5,277	4,942	5,277	4,942	5,277	4,942
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		0.099**		0.068**		0.040
		(0.046)		(0.031)		(0.040)
× Voluntary Rotation		0.134***		0.085***		0.080***
		(0.015)		(0.012)		(0.012)
Pooled	0.134***		0.083***		0.079***	
	(0.014)		(0.011)		(0.012)	
Mandatory − Voluntary		-0.035		-0.018		-0.040
Difference p-value		0.474		0.599		0.336
Observations	28,155	26,237	28,155	26,237	28,155	26,237
Firms	3,191	3,163	3,191	3,163	3,191	3,163
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		0.061***		0.047***		0.027*
		(0.020)		(0.017)		(0.015)
× Voluntary Rotation		0.080***		0.041***		0.054***
		(0.007)		(0.005)		(0.006)
Pooled	0.076***		0.035***		0.053***	
	(0.005)		(0.003)		(0.004)	
Mandatory − Voluntary		-0.019		0.006		-0.026
Difference p-value		0.366		0.741		0.108
Observations	47,834	41,464	47,834	41,464	47,834	41,464
Firms	5,521	5,252	5,521	5,252	5,521	5,252
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		0.066***		0.054***		0.027*
		(0.020)		(0.018)		(0.015)
× Voluntary Rotation		0.086***		0.043***		0.059***
		(0.007)		(0.005)		(0.006)
Pooled	0.080***		0.037***		0.056***	
	(0.005)		(0.003)		(0.004)	
Mandatory − Voluntary		-0.020		0.011		-0.032**
Difference p-value		0.340		0.530		0.048
Observations	49,730	43,228	49,730	43,228	49,730	43,228
Firms	5,521	5,287	5,521	5,287	5,521	5,287
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.